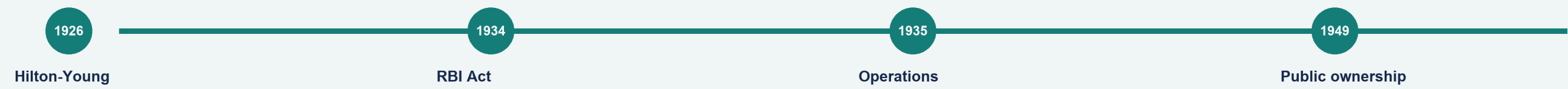


RBI, MONETARY POLICY AND LIQUIDITY MANAGEMENT

One continuous decision rail: statute -> target -> MPC -> corridor -> liquidity -> transmission -> limits

1 ORIGIN AND LEGAL IDENTITY



- Statutory, not constitutional; Section 7 preserves a public-interest direction power

2 FUNCTIONS WITH BOUNDARIES

A

- Currency: RBI banknotes; Government issues the one-rupee note
- Banking: banker/debt manager to governments; bankers' bank, settlement and last resort

B

- External: reserves and intervention against disorderly movement, not a fixed rupee target
- Regulation: only assigned banking/payment domains; no power to tax, spend or legislate

3 FLEXIBLE INFLATION TARGET

- 01 RBI Act s.45ZA: Central Government determines target in consultation with RBI
- 02 Gazette 25 March 2026: headline CPI target 4%; tolerance 2-6%
- 03 Current period: 1 April 2026 to 31 March 2031; review once every five years
- 04 Primary objective: price stability while keeping growth in mind

4 MPC: WHO DECIDES THE POLICY RATE?

A

- RBI: Governor-chair + monetary-policy Deputy Governor + Central Board-nominated officer
- Government: three appointed external experts

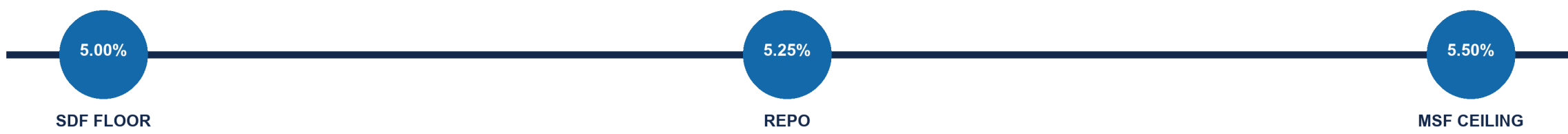
B

- External members: four-year term, no reappointment; eligibility/conflict safeguards
- Decision binds RBI; target setting, rate choice and implementation remain distinct

5 VOTE, PUBLICATION AND FAILURE

- 01 Quorum four, including Governor or the MPC Deputy Governor
- 02 One vote each; majority rules; Governor casts an extra vote only on a tie
- 03 At least four meetings/year; minutes on day 14; MPR every six months
- 04 Three quarterly averages outside band -> reasons + remedies + estimated return horizon

6 CORRIDOR AND CURRENT SNAPSHOT



- Stance: neutral. These rates are dated observations and must be rechecked.
- WACR is the overnight operating target; RBI uses two-way liquidity operations
- WACR alignment is first-mile transmission, not proof of equal retail pass-through

7 LEGAL / OPERATIONAL INSTRUMENT DECODER

A

- SDF: standing, uncollateralised absorption; corridor floor since April 2022
- MSF: eligible scheduled banks; overnight collateralised backstop; ceiling
- CRR: RBI Act s.42, cash with RBI | SLR: BR Act s.24, bank-held liquid assets

B

- FRRR retained at RBI discretion, but no longer floor; Bank Rate is reference/penalty-linked
- Checked 9 September 2026: CRR 3.00%, SLR 18.00% - recheck before reuse

8 TRANSIENT AND DURABLE LIQUIDITY

A

- Framework dated 30 September 2025: primarily 7-day VRR/VRRR plus O/N-to-14-day discretion
- Transient drivers: currency, tax/spending, government cash and settlement

B

- Durable tools: OMO, long variable operations and forex swaps
- Operation Twist reshapes maturity supply; MSS locks proceeds in a separate restricted account

9 MONEY, CREDIT AND BANK STRESS

$$m = M3 / M0$$

M0 = currency + bankers' RBI deposits + other RBI deposits

- Empirical multiplier = M3/M0; never freeze it as 1/CRR
- Credit depends on reserves, capital, funding, risk, regulation and borrower demand
- Liquidity is payment timing; solvency is viability/net worth; last-resort cash is not capital

10 FIVE TRANSMISSION CHANNELS

A

- Interest rate -> WACR, deposits, lending and spending
- Credit -> funding, collateral, bank balance sheets and loan supply
- Expectations -> wages, prices and contracts | Exchange rate -> imported prices/net exports

B

- Asset prices -> wealth, collateral and financing costs
- EBLR can reset faster; MCLR, spreads, legacy loans and lags remain

11 STANCE, SHOCKS AND EXTERNAL BALANCE

- Approx real policy rate = nominal repo - expected inflation; neutral r-star is estimated
- Policy stance is not liquidity stance; neutral can coexist with surplus operations
- Supply shock: contain second rounds; Government repairs supply/logistics and targets relief
- FX intervention smooths excessive volatility; sterilisation separately offsets rupee liquidity

12 BALANCE SHEET AND ANSWER ROUTE

- 01 Assets: foreign assets, gold, G-secs, liquidity claims | Liabilities: notes and deposits
- 02 Notes issued are liabilities; seigniorage is not face value as annual profit
- 03 Answer: diagnose -> assign Government/MPC/RBI -> choose tool -> trace five channels
- 04 Quality lags, distribution, solvency, supply and external limits
- 05 Cross-link Topic 3 for inflation measurement and Topic 5 for banking structure

QUALIFIED VERDICT

Credible nominal anchor + disciplined corridor + flexible liquidity + realistic transmission + coordinated supply response.